ECONOMIC SURVEYS BY THE OECD

I . 2 . B . 2.

SWITZERLAND

FEBRUARY 1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

SWITZERLAND

BASIC STATISTICS

THE LAND

Area (thousand sq. km.)	41.3
Cultivated area (thousand sq. km.)	2.7
Grassland and pastures (thousand sq. km.)	19.0
Forests (thousand sq. km.)	9.8

Major cities, 1961 estimates (thousand inhabitants):

Zurich	442
Basle	208
Geneva	178
Berne	166
Lausanne	128

THE PEOPLE

Population in 1961 (thousand)	5,496
No. of inhabitants per sq. km. in 1961	133
Net annual rate of population increase, average 1955-61 (per thousand inhabitants)	7.8
Labour force, 1960 census (in percent of total population)	46.3
Agricultural labour force, 1960 census (in percent of total labour force)	11.6

Number of foreign workers (thousand):

— February 1962	446
— August 1962	645

Increase in the number of foreign workers, annual average 1955-62 (thousand):

— February census	40
— August census	53

PRODUCTION

Gross national product in 1961 (billions francs)	41
Gross national product per capita in 1961 (U.S. dollars)	1,718
Gross fixed investment in 1961 (in percent of G.N.P.)	29
Expenditure on construction, including public works in 1961 (billions francs)	7.5
Gross income of agriculture in 1960 (billions francs)	3.0

THE GOVERNMENT

Public consumption in 1959 (in percent of G.N.P.)	12
Public works in 1961 (in percent of G.N.P.)	5
Current public revenue in 1959 (in percent of G.N.P.)	18
Debt of the Confederation in 1961 (in percent of current revenue)	188

Composition of Parliament (percent):

	National Council	State Council
— Catholic conservatives	24	39
— Radical democrats	26	29
— Socialists	26	9
— Agrarians and others	24	23

Last elections: 1959
Next elections: 1963

LIVING STANDARDS

Calories per head, per day, in 1960	2,980
Food expenditure in 1960 (in percent of total expenditure in worker families)	29
Average hourly earnings of unskilled workers in 1961 (francs)	3.53
Number of passenger cars in 1961 (per 1,000 inhabitants)	100
Number of telephones in 1961 (per 1,000 inhabitants)	321
Number of radio sets in 1961 (per 1,000 inhabitants)	271

FOREIGN TRADE

Exports of goods and services in 1955-61 (in percent of G.N.P.)	33
Main exports in 1961 (in percent of total exports):	
— manufactured goods	90
of which:	
machinery	23
watches	15

Imports of goods and services in 1955-61 (in percent of G.N.P.)	32
Main imports in 1961 (in percent of total imports):	
— food products	15
— machinery	11
— fuels	7

THE CURRENCY

Monetary unit: Swiss franc

Swiss francs per U.S. dollar: 4.32

ECONOMIC SURVEYS BY THE OECD

SWITZERLAND

1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in January 1963

CONTENTS

INTRODUCTION 5

I. CURRENT DEVELOPMENTS 5

Demand and production 5
Wages and prices 11

II. ECONOMIC POLICY 15

Policies to cope with the capital inflows 16
Policies to curb the boom 18
Labour supply and policy problems 24

STATISTICAL ANNEX 29

BLANK PAGE

SWITZERLAND

INTRODUCTION

1. 1962 was the third consecutive year of remarkably vigorous growth in the Swiss economy. Rapidly rising investment and exports remained the chief dynamic elements of demand. A continued large influx of foreign labour and capital from abroad and a sharp rise in commodity imports relieved the pressure on domestic resources. As a result cost and price movements, although rather marked compared with previous Swiss experience, could be kept in line with those occurring elsewhere in Western Europe.

2. The Swiss authorities have been primarily preoccupied with the inflationary repercussions of the boom, rather than with its effects on the balance of payments on current account - a natural consequence of Switzerland's strong external position. Considerable efforts have also been made to reduce the large inflow of capital from abroad and to neutralise its effect on domestic liquidity. Moreover, there has been widespread concern at the growing proportion of foreign labour in the country's work force leading to discussions of the need to revise present policies in respect of foreign labour intake.

3. Part I of this report reviews briefly recent trends in production, wages and prices and the balance of payments. Those trends suggest that the expansion has entered a more moderate phase in 1962. Part II discusses the economic policies adopted by the authorities to deal with the capital inflow and with inflationary pressures. It concludes that although the strain on resources seems to be easing somewhat, demand pressures remain. The authorities therefore continue to make strong efforts to prevent an excessive expansion. A consideration of the implications of less flexible labour supply conditions for growth and stability of the Swiss economy suggests the need for more refined policy instruments for demand management as well as further efforts to secure a rational use of scarce labour resources.

I. CURRENT DEVELOPMENTS

Demand and production

4. Table 1 illustrates the rapid and sustained expansion in the Swiss economy in recent years, with a particularly strong

advance in 1961, when the real gross national product may have risen by nearly 9 per cent. Statistics on developments in 1962 are incomplete and such partial indicators as exist are not easy to interpret. But the available data suggest that the expansion moderated somewhat in that year.

5. The easing of demand pressures emerges clearly from data on imports. Although the upward trend has remained steep, imports of both capital and consumer goods (other than food, drink and tobacco) rose less fast in 1962 than in the previous year. The sharp upturn in food imports can be ascribed to last year's poor harvest and the continued rise in the population.

Table 1. SUPPLY AND USE OF RESOURCES

(Percentage change in value from previous year)

	1958	1959	1960	1961
Gross investment	-5.5	9.8	18.9	23.0
of which :				
Dwellings	-16.2	52.4	36.0	20.6
Other building and construction	-2.6	6.9	9.0	24.6
Machinery, equipment and stocks	-3.2	-5.0	25.0 1)	25.0 1)
Private consumption	2.0	4.8	5.3 1)	11.3 1)
Public consumption	2.3	3.8		
Gross national product	4.0	5.6	7.8	10.8
Imports	-9.9	12.1	115.9	20.9
Exports	1.3	9.1	11.2	9.7

1) Stock changes are included in consumption.

SOURCE : Swiss reply to statistical questionnaire and Swiss Memorandum.

6. Home market deliveries by the Swiss capital goods industry may have expanded at an undiminished pace in 1962. Employment in the machinery and metals industry increased somewhat less rapidly than in 1961, but productivity may have improved sufficiently to maintain the rate of growth in output, and exports of machinery and instruments went up more slowly than in 1961.

7. Activity in the building and construction industry continued to expand fast, but available indicators suggest that the rate of increase moderated compared with 1961. Employment rose

Table 2. IMPORTS IN SELECTED COMMODITY GROUPS [1)]

	1962	JANUARY-SEPTEMBER	
		1961	1962
	(Percentage distribution)	(Percentage increase from January-September of previous year)	
Total imports	100	21.6	13.6
of which :			
Food	7.8	2.4	16.6
Drinks and tobacco	2.8	1.8	0.1
Basic materials	18.9	10.2	1.8
Textiles, clothing, shoes.....	6.1	22.1	9.4
Chemicals, pharmaceuticals	4.4	8.7	5.8
Machinery, instruments	18.2	38.6	24.6
Automobiles	7.3	36.9	27.7
Other	34.5	29.2	15.9

1) The groups specified include only selected imports.
SOURCE: Bulletin Mensuel, Banque Nationale Suisse.

somewhat less, and the Swiss authorities expected that only 13 per cent more building work would be carried out in 1962 than in the previous year. In 1961 the advance was 23 per cent. These estimates, which relate to the value of building works, understate the slowdown in the expansion, since costs rose faster in 1962 than in 1961. The more moderate growth in building and construction activity, which mainly reflects supply limitations, appears largely to have affected construction work other than housing. Data relating to dwellings completed in 65 Swiss towns in the first nine months of 1962 suggest that the previous year's rate of expansion in dwelling construction was maintained. New building licences issued for housing construction continued to decline, however, although the backlog of such licences remained considerable. Available data on factory building projects, which may not be a good guide to industrial building, showed only a very moderate increase on the 1961 position in the spring and summer of 1962.

8. The growth of private consumption, which according to national accounts estimates accelerated sharply in 1961, has

Table 3. INDICATORS OF CONSTRUCTION ACTIVITY

	DWELLINGS COMPLETED IN 65 TOWNS	NEW LICENCES ISSUED FOR DWELLING CONSTRUCTION IN 65 TOWNS	BUILDING PROJECTS EXAMINED UNDER THE FACTORY LAW	EMPLOYMENT IN BUILDING AND CONSTRUCTION (Percentage change from corresponding quarter of previous year)
1962				
3rd quarter	5,647	6,228	1,078	5.8
2nd quarter	6,929	6,997	1,061	6.4
1st quarter	4,323	6,854	1,060	8.2
1961				
3rd quarter	5,470	7,504	1,019	10.7
2nd quarter	6,623	7,108	1,000	9.9
1st quarter	4,600	7,529	867	12.6
1960				
3rd quarter	5,342	7,008	838	6.9
2nd quarter	10,991	17,586	836	8.5
1st quarter			777	14.4

SOURCE : La Vie Economique.

also become more moderate. In value terms retail sales expanded at an undiminished rate in 1962, but the advance was noticeably slower than in 1961 if adjustment is made for rising prices.

Table 4. RETAIL SALES

(Percentage changes from corresponding period of previous year)

	TOTAL	OF WHICH :		
		FOOD	CLOTHING	OTHER
Values				
1960	8.6	5.6	9.3	12.6
1961	11.1	9.9	8.8	15.2
1962				
January-September ...	11.7	12.3	8.6	14.1
January-June	12.5	13.7	8.7	14.9
July-September	10.2	9.6	8.6	12.6
Values adjusted for price changes[1]				
1960	7.2	4.3	7.8	10.7
1961	9.3	8.3	7.1	12.8
1962				
January-September ...	6.4	5.5	6.1	10.8
January-June	7.3	7.2	6.5	11.6
July-September	4.6	2.7	5.8	9.0

1) The adjustment was made on the basis of the consumer price indices for food, clothing and "other expenditure" (excluding rent, cleaning, light and heating). Total retail sales were deflated by an index in which these three indices were given weights of 63, 19 and 18 per cent respectively. These weights were taken from data on expenditure of wage and salary earning families.

SOURCE : La Vie Economique.

9. There is no clear evidence as yet that export demand has become less vigorous. In 1962, Swiss exports grew at a faster rate than that achieved by any other O.E.C.D. Member country, Italy and Belgium excepted. This further advance was supported

by a continued rapid growth in shipments by the three main sectors of the Swiss export industry, namely chemicals and pharmaceuticals, watches and machinery and instruments. The fact that Swiss exports depend less than do the exports of the larger industrial countries on markets in primary producing countries, may have contributed to their better performance.

Table 5. EXPORTS IN SELECTED COMMODITY GROUPS [1)]

	1962	JANUARY-SEPTEMBER 1961	JANUARY-SEPTEMBER 1962
	(Percentage distribution)	(Percentage increase from January-September of previous year)	
Total	100	9.7	9.0
of which :			
Food	4.8	5.9	4.0
Textiles, hides, shoes	12.4	4.4	5.0
Chemicals, pharmaceuticals	19.3	8.0	9.1
Machinery, instruments	54.2	11.8	9.6
of which :			
Watches	14.4	5.4	9.9
Other	39.8	14.3	9.5
Other exports	9.2	11.4	13.5

1) The groups specified include only selected commodities.
SOURCE : Bulletin Mensuel, Banque Nationale Suisse.

10. Agricultural production did not increase much in 1962. The harvest was adversely affected by the exceptionally dry summer and the output of livestock products probably declined somewhat. In the first ten months of 1962, marketed livestock production was slightly lower than a year earlier.

11. There is little to go by, apart from employment data, to assess the development of production in non-agricultural sectors. A further 0.1 million foreign workers were added to the labour force in 1962, and employment continued to rise rapidly in industry as well as the service sectors. But the growth of employment was slower than in the previous year in all main

branches of manufacturing, the food industry excepted, and hours worked may have been shorter.

Table 6. EMPLOYMENT IN SELECTED ACTIVITIES

(Percentage changes from corresponding period of previous year)

	1960	1961	1962	
			1st half	3rd quarter
Manufacturing	6.4	7.5	5.3	2.8
of which :				
Food	4.3	4.9	6.0	6.1
Textiles	5.8	2.7	1.3	-
Clothing and shoes ...	5.2	5.0	2.0	0.8
Metals and machinery	7.2	10.1	6.9	4.2
Chemicals	6.2	5.8	3.1	2.0
Watches and jewellry	7.1	7.4	4.3	3.8
Building and construction [1]	7.2	10.9	7.7	5.8
Other selected activities ..	..	..	4.0	4.2
of which :				
Handicrafts[2]	..	..	4.1	4.4
Retail trade	..	..	6.4	6.5
Banks	..	..	7.7	7.1

1) Masons only.

2) Includes mechanical workshops, garages, slaughter houses, butcheries, bakeries, horticulture, carpentry, plastering, and painting firms.

SOURCE : La Vie Economique.

Wages and prices

12. The increase in wages during the current boom has been strong by comparison with the past. Hourly earnings in manufacturing have risen by more than 5 per cent a year since 1959, while the average annual increase over the preceding six years was only 3 per cent. But the rise has not been out of line with that occurring elsewhere in Europe ; indeed, the only advanced European O.E.C.D. country, which has clearly had more stable wages than Switzerland over the last two years, is Belgium.

13. The price rise has been pronounced. But prices have risen strongly also in many other European Member countries, so that despite the extraordinary strength of the Swiss boom, price developments in Switzerland have not been out of line with those

Table 7. WAGES IN MANUFACTURING AND PRICES IN SELECTED COUNTRIES

(Percentage changes)

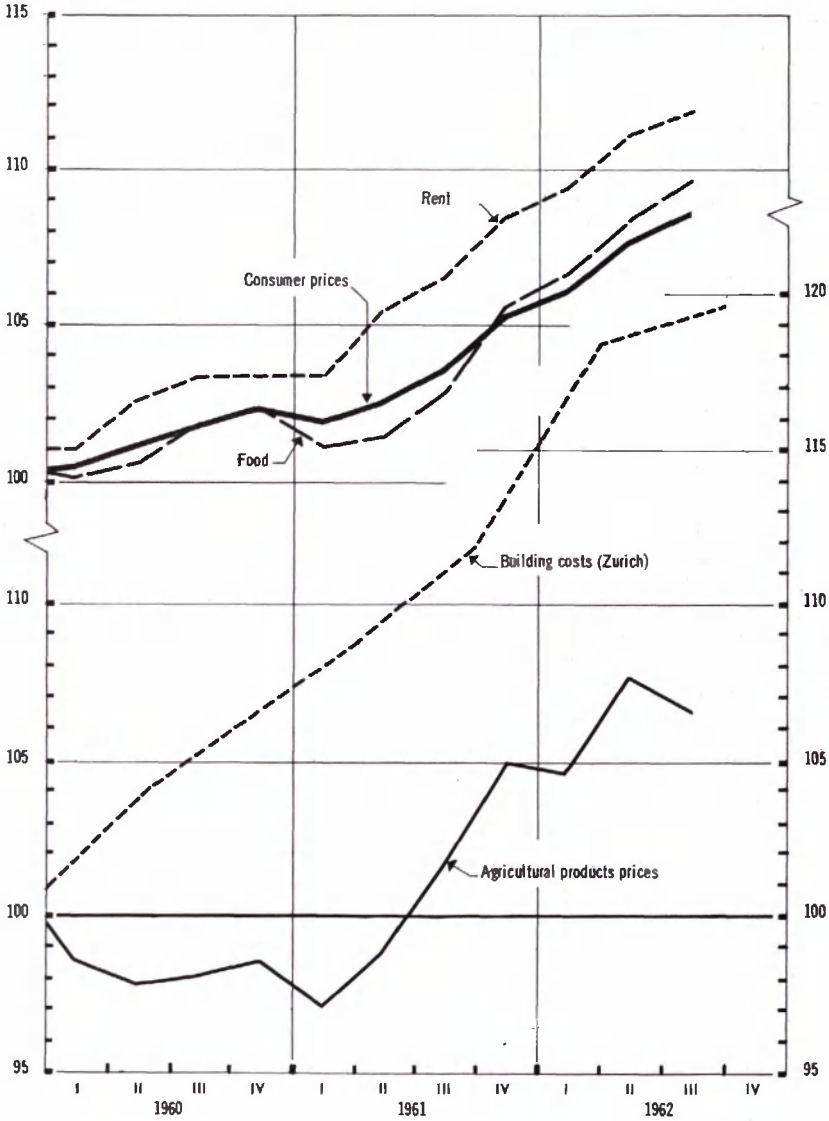
	WAGES		CONSUMER PRICES		REAL WAGES	
	1959 to 1961	January-September 1961 to January-September 1962 1)	1959 to 1961	January-September 1961 to January-September 1962	1959 to 1961	January-September 1961 to January-September 1962 1)
Switzerland	12.4	6.1	3.4	4.6	8.7	1.4
United Kingdom	15.5	3.2	4.4	4.7	10.6	-1.4
France	16.7	8.2	7.1	5.4	9.0	2.7
Italy	12.2	9.4	4.4	4.3	7.5	4.9
Germany.....	19.9	11.2	4.0	3.7	15.3	7.2
Austria	18.4	5.1	5.5	4.8	12.2	0.3
Belgium	7.5	4.1 2)	1.3	1.5	6.1	2.4 2)
Netherlands ...	15.1	8.2 2)	4.2	3.2	10.5	4.7 2)
Sweden	15.7	6.8	5.8	4.7	9.4	2.0
Denmark	20.1	14.4 3)	5.1	6.9	14.3	6.3 3)
Norway	11.9	10.7 2)	2.9	5.3	8.8	5.2 2)

1) Data relate to wage rates except for Sweden, Denmark and Norway 2) January-June only. 3) March.

SOURCE : General Statistics, O.E.C.D.

Diagram 1

PRICES AND BUILDING COSTS
(indices 1959 = 100)



Source : Bulletin Mensuel, Banque Nationale Suisse.

occurring elsewhere in Europe. In Switzerland, as in most other countries, an important factor behind the upward movement of consumer prices in the recent past has been higher food prices. It is to be expected that food prices will rise in periods of rapid overall growth, as agricultural output will tend to lag behind the rise in activity and incomes in other sectors. In Switzerland's case the situation was aggravated by the poor harvest in 1961 and last year's cold spring and dry summer. Agricultural producer prices went up also in response to higher construction costs and wages in agriculture, and rising prices of fodder and some other farm inputs. By October, however, agricultural producer prices had declined to roughly the level of a year earlier, whereas they were 7 per cent higher during the first nine months of 1962. Higher prices of imported foods reinforced the upward movement of Swiss food prices. Rising rents also contributed to the upturn in the cost of living index, while other main components, and in particular those exposed to competition from abroad, changed little. The Swiss wholesale price index has risen rather faster than have wholesale prices elsewhere in the O.E.C.D. area. Building costs went up sharply last winter and spring, but have advanced only moderately since then.

14. The more moderate growth of commodity imports and the continued rapid advance of exports suggest that the deterioration in the current balance of payments slowed down somewhat in 1962. For the year as a whole the Swiss authorities expect that the current deficit may not exceed SF 1.5 billion, which would mean a deterioration of SF 0.6 billion by comparison with 1961 when the worsening amounted to SF 1.3 billion. The experience of the last two years represents a clear departure from other postwar years when Switzerland has had a surplus in her current balance of payments. The net surplus on service account did probably not rise much in 1962. Repatriation of foreign worker earnings may have entailed additional payments abroad of SF 0.3 billion, as in 1961, and the improvement in not receipts on tourism may not have been sufficient to offset the increase in such payments.

15. Gold and foreign exchange reserves rose by SF 1.9 billion in 1961 notwithstanding a current account deficit of SF 0.9 billion and identifiable long-term capital exports exceeding SF 2 billion.* This situation reflects the continued influx of capital into Switzerland, notably in the spring and the autumn. Capital entered Switzerland on a large scale again in the summer of 1962 and the Cuban crisis in November brought another, though much smaller, wave of capital. But these inflows did not lead to any large increase in external reserves, because of steps taken to neutralise them and the sizeable current

* The figure includes public foreign issues in the Swiss market, net Swiss security purchases in the United States, public foreign lending and authorised long-term bank lending abroad.

Table 8. THE BALANCE OF PAYMENTS

(Million U.S. dollars)

	1958	1959	1960	1961
Goods and services, net...	224	175	95	-211
Merchandise, net	-136	-208	-318	-618
Imports c.i.f.	1,813	2,028	2,361	2,845
Exports f.o.b.	1,677	1,820	2,043	2,227
Services and transfers, net	360	383	413	407
Transport	29	34	41	45
Foreign travel, net ...	180	196	218	250
Investment income, net	129	140	157	164
Other current transactions, net.....	22	13	-3	-52
Capital transactions, net ..	-103	-164	162	647
of which :				
Official long-term, net	-15	-6	-65	"
Foreign bonds issued in Switzerland	-35	-124	-153	-234
Net purchases (-) of long-term securities in the United States	-60	-315	-133	-123
Monetary gold and foreign exchange reserves, net increase (-)	-121	-11	-257	-442

SOURCE: Balance of Payments Yearbook Vol. XIII, I MF and United States Treasury Bulletin.

account deficit. In mid-December the official gold and foreign exchange reserves were slightly smaller than a year earlier.

II. ECONOMIC POLICY

16. Economic policy has largely been concentrated on neutralising the sporadic large capital inflows so as to prevent them from generating inflationary forces. The fact that prices and wages have not risen more strongly, in spite of the exceptional strength of the Swiss boom, suggests that such excess demand as existed could be met to a large extent by imports. Imports could be allowed to expand sharply because of the large external reserves and of the strong overall balance of payments position.

The introduction of strong measures to curb the boom was therefore not considered necessary in all sectors of the economy. Individual sectors, and notably the building and construction industry, have however been under considerable pressure. The need to check excess demand and halt the rise in costs and prices has repeatedly been stressed by the Swiss authorities and a number of steps have been taken to this end.

Policies to cope with the capital inflows

17. The task of discouraging the type of capital inflows which have occurred in the recent past is a difficult one. Repatriation of Swiss capital invested abroad, which there is of course no intention to prevent, may have accounted for a large share of the total influx in the last couple of years. A relatively moderate decline in the long-term assets held abroad by Swiss residents, which were recently estimated to amount to SF 17 billion (excluding direct investment) could notably swell the flow of funds entering the country. As regards foreign capital, the imposition of negative interest rates and of restrictions on the acquisition by non-residents of Swiss securities and real estate cannot be expected to halt the influx entirely. The overriding considerations behind the recent waves of capital imports were political and economic unrest abroad, the long record of political and economic stability in Switzerland and the stable value of the Swiss franc. The large movements of capital seeking refuge in Switzerland last summer, for example, are thought to have been strongly motivated by the crisis of the Canadian dollar, renewed doubts as to the stability of the United States dollar and the fall in stock exchange values in May.

18. It was not, therefore, to be expected that the gentlemen's agreement between the Central Bank and the private banks, which has been in operation since August 1960, would succeed entirely in stemming these imports of capital. According to this agreement, which was extended for one year in August 1961 and for a further six months last August, the banks have agreed to conform to the following rules. No deposits from non-residents are accepted for periods of less than three months. No interest payments are made on non-resident deposits, and those with less than six months' duration are subject to a 0.25 per cent commission charge each quarter. Time deposits are converted on demand into francs or foreign exchange for purchasing foreign securities. The banks are abstaining from selling Swiss securities and real estate to non-residents and are helping to limit such transactions carried out through other channels. Foreign demand no doubt played an important part in the sharp increase in share prices in Switzerland up to May 1962. This may, however, have been due to the accommodation of foreign funds through non-bank channels.

19. The law on the acquisition of real estate by non-residents, put into force in mid-1961, may not have aimed specifically at

discouraging capital inflows, but more at safeguarding Swiss real estate and checking the inflation of real estate values. It appears to have had limited effects ; statistics relating to the first six months in which it was in operation show that only eight per cent of non-resident applications for the purchase of Swiss real estate were in fact rejected.

20. If, despite these measures, it has not been possible to stem the capital influx, National Bank and Federal Government policies have at least succeeded in neutralising their effect on domestic liquidity to a considerable extent. The measures taken to this end in 1960 and 1961 included the freezing of SF 1 billion of commercial bank funds with the National Bank, the taking up by the banks of SF 0.4 billion worth of Federal cash bonds and the conclusion of a swap agreement with the Bank of England providing for the re-export of part of the inflow of capital. The liberal treatment given to foreign private long-term borrowing in the Swiss market also contributed to draining off excess liquidity. The main instrument of policy in respect of capital inflows in 1962 was the large swap transactions in which the Swiss National Bank, the Federal Reserve Bank and the Bank of International Settlements have co-operated. Under these agreements, Swiss banks invested United States dollars taken over from the National Bank in the form of United States Treasury Bills. In the summer and autumn substantial amounts of bank liquidity - perhaps close to SF 0.5 billion - were drained off the market in this way. Similar arrangements were made to cope with the capital influx occurring during the Cuban crisis in November. Since Switzerland is not a member of the International Monetary Fund the Swiss authorities feel that she cannot associate herself directly with the $6 billion borrowing arrangements of the Fund. But they have declared themselves ready, if need be, to enter into ad hoc bilateral arrangements with central banks abroad.

21. There has been some public lending abroad, largely resulting from consolidation of certain short-term credits granted under the swap agreements and from capital exports to developing countries. In 1961 a government loan of $23 million was granted to the I.B.R.D. and one of $5.1 million to Yugoslavia. Aid for technical assistance almost tripled ($1.3 million in 1961, $3.2 million in 1962). As in earlier years, however, most of the capital exports to developing countries were made by the private sector. Policy in respect of foreign issues on the Swiss market has remained liberal. To avoid overcharging the market, however, it was necessary to restrain authorisations for foreign public bond issues in 1962. Applications to the National Bank for long-term bank loans to abroad fell somewhat in that year, and new bank lending subject to National Bank authorisation amounted to SF 141 million in the first ten months as against SF 375 million in the corresponding period of 1961. The sterilisation by the Confederation of its budget surpluses also contributed to neutralising the inflow of foreign funds last year.

Table 9. FOREIGN ISSUES FOR PUBLIC SUBSCRIPTION IN SWITZERLAND

(Million francs)

	1959	1960	1961	1962[1]
O.E.C.D. countries	320	380	740	480
of which :				
Germany.....	-	15	80	140
United Kingdom	60	110	160	170
Third countries	50	60	120	-
International organisations	110	120	100	100
Total issues	180	560	960	580
Total, net of redemption payments	480	560	860	376[2]

1) The data include issues placed in the first nine months of SF 520 million and authorisations for the remaining three months (SF 60 million).

2) Redemption payments have been deducted for the first nine months only.

SOURCE : Bulletin de la Société de Banque Suisse and Bulletin Mensuel, Banque Nationale Suisse.

22. The prospects of a sudden large-scale withdrawal of foreign funds from Switzerland in the near future would seem to be slight. But should such a withdrawal occur, Switzerland would appear to be well prepared to cope with it. The bank balances blocked with the National Bank which, when released, would provide the basis for a substantial credit expansion, represent an important safeguard against the effect of such capital outflows on internal liquidity. According to recent estimates, the short-term foreign assets of Swiss banks exceeded their short-term foreign liabilities by SF 0.8 billion in 1960. It is reasonable to assume that the increase in the banks' short-term liabilities to abroad which has taken place since then, has been accompanied by additional short-term investment abroad. Net public short-term claims on abroad are also considerable. They have been estimated at SF 1.2 billion in 1960 and may have increased by SF 0.3 billion or more since them.

Policies to curb the boom

23. The concern of the Swiss authorities that the economy could become overheated and at the consequences of the rise in

wages and prices has led to a number of efforts to moderate the expansion. Policies in this field have also depended to a large extent on the voluntary co-operation of financial institutions and other private bodies. The Federal constitution of Switzerland, which leaves all the more strategic taxes as well as the bulk of public expenditure in the hands of cantonal and communal authorities, strictly limits the use of a contra-cyclical budgetary policy. But the Federal authorities may not have availed

Table 10. THE FEDERAL GOVERNMENT BUDGET

(Million francs)

	1960 (Closed account)	1961 (Closed account)	1962 (Budget forecast)
Current revenue	3,316	3,406	3,618
of which :			
Direct taxes	640	452	699
Indirect taxes	2,166	2,525	2,488
Income from property and entrepreneurship	288	218	431
Other current transfers	282	211	
Current expenditure	2,601	3,267	3,426
of which :			
Military	914	1,088	1,210
Other goods and services	802	1,234	1,239
Subsidies	665	737	768
Interest on the public debt	219	210	209
Net current savings	715	139	192
Depreciation and other operating provisions	-436	189	-88
Gross saving	279	328	104
Repayment of the public debt	304	207	
Net increase in investment and claims	1	276	
Net change in cash balances	262	203	

SOURCE : Swiss Memorandum and Bulletin of the Société de Banque Suisse.

themselves fully of the limited scope left open to them in this field. The traditional budget surplus has been maintained throughout the boom, but at the peak of the boom in 1961 the current surplus was the lowest since 1953. Policy towards the Federal debt has been to refrain from devoting the financial surplus to debt repayments ; yet such repayments were higher in 1960 and 1961 than in any year since the early postwar period.* Debt repayments have been virtually discontinued since 1961, however, and the bulk of the financial surplus has been frozen or invested abroad.

24. Action to dampen investment activity has largely consisted of sustained campaigns of exhortation by the central authorities to induce moderation in private and cantonal building and construction activity. But there may not be much scope for other forms of action by the Federal authorities in this field given the Swiss institutional arrangements. The system of building licences is controlled by the cantonal and communal authorities and is not widely used for contra-cyclical policy purposes. Federal financial assistance for housebuilding is very low and exclusively concerns high priority social dwellings, which it is not easy to cut for the purpose of relieving the pressure on the building industry. Business taxation, as already noted, is determined at the local level.

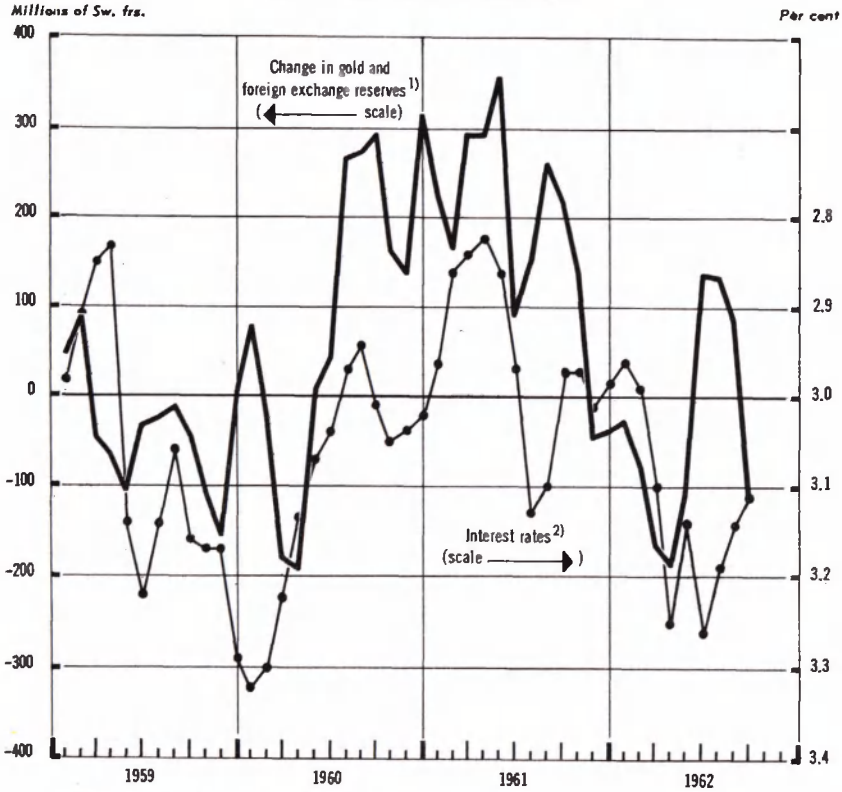
25. There has been strong reluctance to resort to higher interest rates to check the investment boom. The discount rate has been maintained unchanged at 2 per cent since early 1959. Apprehensions as to the likely repercussions of higher rates on the financial position of agriculture and, via food prices and rents, on the general level of prices explain to a large extent the reluctance to see interest rates rise. Moreover, it is felt that, to affect investment, the adjustment in rates would need to be large, and such an adjustment would reinforce the tendency for foreign capital to seek refuge in Switzerland and hamper Swiss capital exports. The continued large capital influx from abroad has importantly contributed to keeping interest rates low in face of the intense demand for capital on the Swiss market. The average yield on Federal bonds rose in the first half of 1962, but the trend was reversed in the summer following the large capital influx and the reduced foreign issue activity on the Swiss market. Transactions in new bond issues suggest however, that a certain pressure on interest rates is asserting itself. In recent months some of the new Swiss bond issues have not been fully subscribed and have been sold below par off the market. Foreign bond issues in contrast, have been heavily oversubscribed and sold with a 4-6 per cent premium in off market transactions. The smaller supply of foreign bond issues on the Swiss market and the desire of investors in fixed interest

* Except for 1957/58 when debt disbursements were abnormally large and dictated by the need to counteract tightening money and credit conditions.

securities for higher yields have therefore led to a reduction of the traditional yield differential in favour of Swiss bonds.

Diagram 2

INTEREST RATES AND EXTERNAL RESERVES



1) Three months' moving average with turn of year fluctuations evened out.
2) Average yield to redemption on Federal bonds.
Source: Bulletin Mensuel, Banque Nationale Suisse.

26. The decline in foreign borrowing on the Swiss issue market in 1962 increased the scope for financing domestic investment through the open market. Issues of Swiss shares for public subscription rose sharply and there was some increase also in new domestic bond issues. But the net total of Swiss issues (after deduction of repayments to the market) did not increase sufficiently to offset the fall in foreign net bond issues, and net demand on the Swiss capital market, although still substantial, was somewhat smaller in the first nine months of 1962 than in the corresponding period of last year. This contrasts sharply with experience in 1961 when such demand went up by some

SF 0.8 billion, due in part to the large inflow of capital from abroad in that year.

Table 11. NEW ISSUES IN THE SWISS CAPITAL MARKET

(Million francs)

	1960	1961	JANUARY-SEPTEMBER	
			1961	1962
Domestic issues				
For public subscription, gross	1,083	1,396	1,077	1,454
Repayments	266	60	47	34
Net	817	1,336	1,030	1,420
Of which :				
Bonds, net	634	972	749	850
Shares, net	183	364	281	570
Loan issues without public subscription, gross	157	215	209	125
Foreign bond issues, gross	558	960	775	520
Repayments	-	100	50	204
Net	558	860	725	316

SOURCE : Bulletin Mensuel, Banque Nationale Suisse.

27. A gentlemen's agreement to restrain bank credit was concluded last April with a view to checking investment of a speculative nature. The agreement is the first of its kind in a long series of Swiss gentlemen's agreements dating back to the 1920's. It provides for a limit on new bank lending in Switzerland equal to a certain percentage (85 for mortgages, 65 for other lending) of the increase in new credits extended in 1961 or 1960. The finance of low cost dwelling construction, agricultural investment and imports are singled out as the sectors to be given priority within the limits thus set.

28. Bank credit expansion has slowed down appreciably since the agreement was concluded. In the second and third quarters of 1962 new lending, other than to public corporations, fell below the corresponding periods of the previous year by close to two-fifths and one-fourth respectively. The break in the stock markets last May no doubt contributed to this fall.

Table 12. ADVANCES AND LOANS GRANTED BY 62 BANKS

(Million francs)

	TOTAL	OF WHICH :		
		MORT-GAGES	PUBLIC CORPORA-TIONS	OTHER
Outstanding end September 1962	37,471	19,349	1,793	16,329
Average monthly change				
1961 year	392	126	20	246
1st quarter	217	100	-28	145
2nd quarter	412	124	26	262
3rd quarter	339	127	40	172
1962				
1st quarter	288	154	-79	213
2nd quarter	253	113	14	126
3rd quarter	291	108	63	120

SOURCE : Bulletin Mensuel, Banque Nationale Suisse.

29. No attempt has been made as yet to influence private consumption, which is in any case rising only moderately by comparison with investment, and partly in response to the expanding labour force. The primary aim of the law on instalment credit, which was passed last summer and will be put into force in 1963, is consumer protection. The rules it lays down do not differ greatly from those already in force. Its effect on private consumption would be expected to be small also because instalment credit is not widely used in Switzerland. Outstanding credit per caput is less than one-tenth of the United States level and only 40 per cent of that in the United Kingdom.

30. The efforts made by the authorities over the last two and a half years to enlist the co-operation of industry, trade, labour and the cantonal authorities in a concerted drive against excess demand and inflation, had produced no tangible results by the end of 1961. Since then, an important change in the psychological preconditions for such action has taken place. Manifestations of such a change are already apparent in the commitment by some manufacturing industries not to raise prices or increase employment, and the appointment by many local authorities of bodies designed to give opinions on priorities in building and construction and on policy in general towards excess demand and rising

costs in the construction sector. The proposal last year for a voluntary wage freeze was rejected by the unions, who claimed that wages had lagged behind improvements in productivity and profits.

31. Apart from these campaigns for restraint, Government policies in respect of prices have been confined mainly to letting part of excess demand spill over into demand for imports. The attitude of the authorities towards imports is brought out clearly in the priority given to import finance in the recent credit agreement, as noted in paragraph 27. Whilst policy has been to facilitate imports no major move has been made to ease the pressure on agricultural prices through a more liberal policy for agricultural imports. The import regime for potatoes, vegetables and fruits was fairly liberally applied in 1962 ; but the imports of these commodities, which had risen in price abroad as well, could not importantly relieve the pressure on Swiss food prices. The experience of the last year will no doubt have contributed to bringing to the fore the problem of Swiss agriculture.

32. Although the boom does not appear to have weakened Switzerland's competitive position as yet and the tendency is towards a moderation of the growth of demand, the very steep expansion of demand since 1960 stands out in sharp contrast to the stability characterising the Swiss economy until then. This change in the situation explains the continued action by the authorities to prevent excessive wage and price increases. The current balance of payments deficit, which may be too big to cope with in the long run, will probably decline as the growth of activity moderates. For the time being, it should not give cause for concern, inasmuch as external reserves are comfortably large. The present level of reserves must however, be seen in relation to Switzerland's external obligations resulting from the influx of foreign capital in recent years. The steps taken by the authorities to neutralise these capital inflows will ease the task of offsetting the impact on the economy of an eventual withdrawal of foreign funds. The various forms of close co-operation between the National Bank and foreign central banks developed in the recent past could also contribute to handling such a situation.

Labour supply and policy problems

33. Growing concern is felt in Switzerland about the large inflow of foreign labour in recent years, which brought the share of foreign labour in the dependent work force to 25-30 per cent last summer. There is a widespread desire that this share should not increase any further, and the Swiss authorities feel that the expansion of the Swiss economy should not remain dependent on foreign labour to the same extent as in the recent past. A change in policies in respect of the foreign labour intake in response to this concern would have important implications

Table 13. EMPLOYMENT IN MANUFACTURING [1]

(Percentages)

	INCREASE IN EMPLOYMENT OF WAGE EARNERS (Annual compound rate)		INCREASE IN EMPLOYMENT OF NON-SWISS (In percent of increase in total dependent employment) [2]		(In percent of total dependent employment) [2]		
	3rd quarter 1949 to 1959	1959 to 1961	1950 to 1959	1959 to 1961	1950	1959	1961
Total manufacturing	2.2	7.0	67	105	7	19	30
Food	1.6	5.0	61	140	7	15	25
Textiles	0.4	4.4	[3]	177	12	29	41
Clothing and shoes	1.4	4.8	194	170	12	36	49
Chemicals	2.7	5.4	18	54	4	7	13
Machinery and metals	3.3	8.3	50	94	5	19	31
Watches and jewellry	1.2	8.2	9	75	3	4	14
Others	1.9	6.7	68	105	6	17	28

1) Including public utilities.
2) Data relate to the situation in the month of September.
3) Total employment rose by 243, employment of non-Swiss rose by 11,115.
SOURCE : Annuaire Statistique Suisse.

for the growth prospects of the Swiss economy and it would render more difficult the problem of maintaining short-term stability.

34. In the second half of the 1950' s, the work force in Switzerland may have risen by some 1.7 per cent a year, faster than in any other industrial O.E.C.D. country. In the last two years the rate of growth of the labour force may have been of the order of 4.5 per cent a year. Foreign labour accounted for two-thirds of the growth in the total work force in the former period ; in the latter the corresponding share may have reached four-fifths. The major role played by foreign labour in the expansion of employment in the industrial sector over the past decade is conveyed by the data in Table 13. In the period 1959-1961 the growth in manufacturing employment was entirely due to the influx of foreign wage and salary earners. In the same period, there was a decline in the employment of Swiss nationals, reflecting in particular the tendency for Swiss workers to move out of consumer goods industries. In the building industry as well, foreign labour has contributed importantly to raising employment over the last several years.

35. The growth of the active age groups in the Swiss population will accelerate somewhat in coming years. But unless the foreign labour share is to increase, the work force cannot be expected to grow by more than 0.8 per cent annually over the coming five years. This is half the rate achieved during the second half of the 1950s and one-fifth of that during the last two years.

36. The rapid and stable expansion of the Swiss economy since the mid 1950' s will be difficult to maintain with a decline in the growth of the labour supply of this magnitude. The growth in output per capita is also likely to be lower. Furthermore, competitive bidding up of scarce labour resources in periods of rapidly rising demand will aggravate the problem of maintaining cost and price stability, and Swiss employment will be more exposed in periods of slackening demand. The high degree of stability enjoyed by the Swiss economy throughout the last decade was in no small measure due to the safety valve provided by a large and highly flexible foreign labour force.

37. If this situation is now to change the Swiss authorities may wish to strengthen existing policies designed to facilitate labour mobility and rational utilisation of available labour resources. Policies in respect of agriculture, including measures to improve structural conditions with a view to economising labour, will have an important role to play. The adequacy of existing policy instruments for managing demand in the short run will have to be reconsidered in the light of the new labour supply situation, and there will be a need to evolve a policy towards wages and other incomes.

38. A change in the present arrangements so as to permit greater flexibility of monetary policy has already been under

active consideration by the authorities for some time. Such a change would aim, notably, at strengthening and enlarging the monetary policy instruments at the disposal of the Swiss National Bank. The possibility of increasing the latitude of the Federal authorities in the fiscal field has also been discussed at the official level. The need for centrally-controlled taxes to influence investment has been stressed in particular in this connection.

39. Some of Switzerland's new policy problems can probably be handled also through an extension and further refinement of the system of gentlemen's agreements and other forms of voluntary co-operation in the economy. Considerable experience has been gained in this field over the last few years and attitudes in the private sector towards this type of arrangement remain very positive.

BLANK PAGE

STATISTICAL ANNEX

BLANK PAGE

Table I. SUPPLY AND USE OF RESOURCES

(Current prices, million francs)

	1958	1959	1960 1)	1961 1)
Consumers' expenditure on goods and services	20,350	21,330	..	..
Government current expenditure on goods and services	3,900	4,050	..	..
of which : National defense	1,000	960	910	1,090
Gross fixed asset formation and change in stocks	7,280	7,990	..	..
Exports of goods and services, including income payments from the rest of the world	10,370	11,310	12,640	13,870
Minus : imports of goods and services, including income payments to the rest of the world	9,410	10,550	12,230	14,780
Gross national product at market prices	32,490	34,130	36,850	40,820
Minus : depreciation allowances	2,550	2,600	2,800	3,100
Net national product at market prices	29,940	31,530	34,050	37,720
Minus : indirect taxes	1,580	1,660	1,990	2,310
Plus : subsidies	70	70	70	70
Net national product at factor cost	28,430	29,940	32,130	35,480
Minus : income payments from the rest of the world	780	840	920	950
Plus : income payments to the rest of the world	220	230	240	240
Net domestic product at factor cost	27,870	29,330	31,450	34,770

1) Provisional figures.

SOURCE : Swiss reply to statistical questionnaire.

Table II. DISTRIBUTION OF NATIONAL INCOME AT FACTOR COST

(Current prices, million francs)

	1958	1959	1960 1)	1961 1)
Compensation of employees	17,140	18,140	19,420	21,850
Wages and salaries	15,490	16,340	17,490	19,770
Pay and allowances of armed forces	100	100	100	110
Employers' contributions to Social Security	1,550	1,700	1,830	1,970
Income of independent traders	5,210	5,450	5,790	6,220
Income from farming	1,580	1,590	1,500	1,580
Interest, rent and dividends paid to households, etc.	2,810	2,920	3,070	3,270
Interest	970	1,010	1,090	1,190
Net rent	1,000	1,040	1,070	1,120
Dividends	840	870	910	960
Savings of corporations	1,600	1,660	1,850	2,000
Direct taxes on corporations	610	570	670	670
Government income from property and entrepreneurship	1,070	1,170	1,240	1,310
Less : interest on public debt	510	520	550	580
National income	27,930	29,390	31,490	34,740

1) Provisional figures.

SOURCE : Swiss reply to statistical questionnaire.

Table III. BUILDING AND CONSTRUCTION, PROJECTED AND ACTUAL

(Current prices, million francs)

	1959	1960		1961		1962
	(Actual)	(Projected)	(Actual)	(Projected)	(Actual)	(Projected)
Public building and construction, total	1,674.3	2,233.5	1,730.7	2,562.8	2,030.8	3,246.6
Civil engineering, total	989.5	1,297.4	1,017.5	1,532.6	1,222.8	1,951.2
Roads and bridges	338.7	505.8	352.4	701.9	492.3	952.3
Railways	98.0	111.2	100.4	97.2	91.7	118.0
Improvements to inland waterways and service mains	140.2	237.0	173.8	269.6	202.9	352.7
Other works	237.4	264.9	199.9	259.9	232.0	298.6
Maintenance	175.2	178.5	191.0	204.0	203.9	229.6
Buildings, total	684.8	936.1	713.2	1,030.2	808.0	1,295.4
Administrative	32.6	47.3	32.3	46.2	28.3	61.4
Schools	218.8	289.2	217.8	324.2	244.0	423.2
Hospitals, homes, etc.	76.2	125.6	84.5	120.5	99.3	149.5
Churches	44.1	49.3	41.8	42.3	41.2	68.1
Municipal housing	37.5	34.0	23.6	37.7	40.3	51.1
Other buildings	204.9	313.4	235.0	375.5	272.0	450.3
Maintenance	70.7	77.3	78.2	83.8	82.9	91.8
Private building and construction, total	3,460.1	4,215.5	4,365.3	5,500.0	5,472.6	7,011.3
Housing	1,856.2	2,537.4	2,542.9	3,197.7	3,060.8	3,934.0
Industrial building	1,105.8	1,172.0	1,360.2	1,772.3	1,887.9	2,592.8
Power stations	443.2	443.9	406.7	447.2	449.9	390.9
Other works	54.9	62.2	55.5	82.8	74.0	93.6
GRAND TOTAL	5,134.4	6,449.0	6,096.0	8,062.8	7,503.4	10,257.9

SOURCE : Swiss Memorandum.

Table IV. THE FOREIGN LABOUR FORCE

	1959		1960		1961		1962	
	FEBRUARY	AUGUST	FEBRUARY	AUGUST	FEBRUARY	AUGUST	FEBRUARY	AUGUST
Total	250,794	364,778	275,291	435,476	348,941	548,312	445,610	644,706
By sectors :								
Mining and quarrying	214	1,266	222	1,760	488	1,076	653	1,446
Agriculture, forestry and fishing	14,186	31,286	13,079	29,207	11,091	26,147	10,331	24,053
Manufacturing and construction	126,751	208,197	150,018	272,601	212,625	372,422	288,742	450,352
Commerce and administration	7,156	7,820	8,434	10,216	11,941	14,800	17,407	20,213
Hotels and restaurants	48,431	60,515	49,454	62,266	52,994	66,905	59,095	71,130
Transports and communications	771	950	875	1,213	1,302	1,897	2,203	3,290
Liberal and technical professions	15,215	15,979	16,328	18,134	19,683	21,894	23,124	25,803
Domestic service	31,784	31,513	29,426	30,298	28,445	29,061	27,958	28,827
Other	6,286	7,252	7,455	9,781	10,372	14,110	16,097	19,592
By nationality :								
Italian	138,253	242,806	158,773	303,090	214,036	392,060	285,155	454,402
German	66,141	71,426	65,954	72,365	68,835	73,466	72,103	77,678
Austrian	28,584	30,382	28,637	31,604	29,189	30,152	27,635	29,001
French	8,177	8,841	9,898	11,932	13,691	16,163	16,927	18,730
Other	9,639	11,323	12,029	16,485	23,190	36,471	43,790	64,895
By sex :								
Men	131,452	232,292	149,589	288,351	204,530	374,783	271,405	443,061
Women	119,342	132,486	125,702	147,125	144,411	173,529	174,205	201,645

SOURCE : La Vie Economique.

Table V. UNEMPLOYMENT, VACANCIES AND WORK HOURS

	1958	1959	1960	1961				1962		
				1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
Unemployment and vacancies, monthly averages (1,000)										
Registered wholly unemployed	3.4	2.4	1.2	1.6	0.3	0.2	0.6	1.1	0.2	0.2
Employment vacancies	4.4	5.3	6.4	7.2	6.6	6.2	5.4	6.1	6.5	6.2
Work Hours										
Weekly average per worker in manufacturing	46.8	46.6	46.3	45.9	45.8	45.8	45.7	45.6	45.6	45.7
Monthly average of overtime work in manufacturing (1,000)	815.0	866.1	1,284.1	1,385.6	1,398.3	1,645.3	1,595.9	1,461.9	1,388.3	1,549.2

SOURCE : General Statistics, O.E.C.D. and La Vie Economique.

Table VI. MERCHANDISE TRADE BY AREA

(Million francs)

	EXPORTS					IMPORTS				
	1959	1960	1961	January-September		1959	1960	1961	January-September	
				1961	1962				1961	1962
O.E.C.D. countries	5,263.2	5,874.0	6,358.7	4,541.4	5,071.1	7,158.6	8,407.2	10,202.7	7,455.8	8,586.8
E.E.C.	2,902.1	3,328.2	3,657.7	2,614.6	2,900.3	4,979.1	5,890.1	7,282.7	5,332.5	6,090.3
EFTA	1,114.8	1,296.0	1,421.0	1,034.9	1,154.8	1,050.5	1,100.4	1,399.1	1,005.6	1,249.9
Other Europe	279.9	300.8	319.9	222.1	255.1	121.7	149.8	165.7	101.8	133.9
North America	966.3	949.1	960.1	669.8	760.9	1,005.3	1,266.9	1,355.3	1,015.9	1,112.7
Non-O.E.C.D. countries	2,010.6	2,256.7	2,463.5	1,798.3	1,837.9	1,109.3	1,240.9	1,441.6	1,068.9	1,113.2
of which :										
Eastern Europe	243.4	264.8	280.2	200.5	173.4	189.4	209.1	266.3	193.5	184.5
Other developed countries	394.5	472.7	520.3	387.7	433.3	164.9	191.6	270.6	209.0	195.0
Developing countries	1,372.8	1,519.3	1,663.0	1,210.1	1,231.2	755.0	840.1	904.8	666.4	733.7
of which :										
Africa	217.4	202.3	237.3	169.7	177.3	211.4	228.3	265.1	203.0	180.8
Mid and Far East	565.1	686.3	727.7	535.7	536.0	200.2	237.7	245.8	178.2	207.8
Latin America	590.3	630.7	698.0	504.7	517.9	343.4	374.1	393.9	285.2	345.1
TOTAL	7,273.8	8,130.7	8,822.1	6,339.7	6,909.0	8,267.9	9,648.1	11,644.4	8,524.7	9,700.0

SOURCE : Bulletin Mensuel, Banque Nationale Suisse.

Table VII. MONEY, CAPITAL AND SHARE MARKETS

(End of period, million francs and percentages)

	UNIT	1959	1960	1961				1962		
				MARCH	JUNE	SEPTEMBER	DECEMBER	MARCH	JUNE	SEPTEMBER
Interest rates	(Per cent)									
Official discount rate	"	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
Cash bond rate (5 large banks)	"	3.32	3.34	3.29	3.25	3.25	3.27	3.29	3.35	3.39
Savings deposits	"	2.71	2.71	2.71	2.73	2.73	2.73	2.75	2.75	2.75
New first rank mortgages	"	3.76	3.76	3.76	3.76	3.76	3.76	3.76	3.76	3.76
Yield to redemption on Federal bonds	"	3.29	3.02	2.84	2.97	2.97	2.98	3.10	3.26	3.11
Money supply, total	(Million francs)	17,468	19,262	19,411	19,870	20,641	22,176	22,028	22,408	22,609
of which :										
Note circulation	"	6,344	6,854	6,631	6,773	7,014	7,656	7,338	7,501	7,654
Sight deposits in 62 banks	"	8,605	9,650	10,251	10,439	10,949	11,381	11,868	11,966	12,036
Deposits in postal cheque accounts	"	2,050	2,268	2,039	2,168	2,188	2,643	2,326	2,445	2,423
Current balances of the banks with the National Bank 1)	(Million francs)	2,331	2,288	2,474	1,747	2,183	1,996	1,905	2,240	1,734
Gold and foreign exchange reserves	"	8,904	10,038	10,953	11,225	11,876	11,920	11,269	11,687	11,356
of which :										
Gold	"	8,369	9,455	9,371	9,826	10,700	11,078	10,576	10,425	10,615
Gold cover for note circulation and sight deposits with the National Bank	(Per cent)	94.3	98.4	99.4	101.1	103.5	104.5	108.5	102.2	107.9
Time and savings deposits in 62 banks	(Million francs)	15,882	18,089	18,604	18,931	19,553	20,441	21,170	21,685	22,186
Loans and advances granted by 62 banks	"	12,506	15,198	15,879	16,498	16,763	18,217	18,928	19,343	19,917
Mortgage credits of 62 banks	"	15,506	16,709	17,008	17,380	17,760	18,224	18,687	19,026	19,349
Price of shares	(In per cent of issue price)	583	802	931	1,068	969	1,139	1,160	833	814
of which :										
Industrial	"	759	1,068	1,266	1,501	1,348	1,528	1,526	1,081	1,046

1) Assets of foreign banks included up to June 1961.
SOURCE : Bulletin Mensuel, Banque Nationale Suisse.

O.E.C.D. SALES AGENTS
DÉPOSITAIRES DES PUBLICATIONS DE L'O.C.D.E.

ARGENTINA - ARGENTINE
Editorial Sudamericana S.A.,
Alsina 500, BUENOS AIRES.

AUSTRALIA - AUSTRALIE
B.C.N. Agencies Pty. Ltd.,
62 Wellington Parade, East MELBOURNE, C.2.

AUSTRIA - AUTRICHE
Gerold & Co., Graben 31, WIEN I.
Sub-Agent : GRAZ : Buchhandlung Jos. A. Kienreich, Sackstrasse 6.

BELGIUM - BELGIQUE
N.V. Standaard-Boekhandel,
Huidevettersstraat 57, ANTWERPEN.
Librairie des Sciences (R. Stoops),
76-78, Coudenberg, BRUXELLES.

BRAZIL - BRÉSIL
Livraria Agir Editôra,
Rua Mexico 98-B, RIO DE JANEIRO.

CANADA
Queen's Printer - Imprimeur de la Reine,
OTTAWA
Prepayment of all orders required
Les commandes sont payables d'avance.

CUBA
La Casa Belga, O'Reilly 455, HAVANA.

DENMARK - DANEMARK
Ejnar Munksgaard Forlag, Nörregade 6,
KÖBENHAVN.

FINLAND - FINLANDE
Akateeminen Kirjakauppa, Keskuskatu 2,
HELSINKI.

FRANCE
Presses Universitaires de France,
108, boulevard Saint-Germain, Paris (6e

GERMANY - ALLEMAGNE
Deutscher Bundes-Verlag,
Postfach 9380, 53 BONN.
Sub-Agents : BERLIN : Elwert & Meurer.
MÜNCHEN : Hueber. HAMBURG : Reuter-Klöckner; und in den massgebenden Buchhandlungen Deutschlands.

GREECE - GRÈCE
Librairie Kauffmann, 21, rue du Stade, ATHÈNES.

ICELAND - ISLANDE
Snæbjörn Jonsson & Co. h. f.
Hafnarstræti 9
P.O. Box 1131 - REYKJAVIK

INDIA - INDE
International Book House Ltd.
9 Ash Lane, Mahatma Gandhi Road, BOMBAY I.
Oxford Book and Stationery Co.,
NEW DELHI, Scindia House.
CALCUTTA, 17 Park Street.

IRELAND - IRLANDE
Eason & Son, 40-41 Lower O'Connell Street,
DUBLIN.

ISRAËL
Blumstein's Bookstores Ltd.,
35 Allenby Road, and 48 Nahlath Benjamin St.
TEL-AVIV.

ITALY - ITALIE
Libreria Commissionaria Sansoni
Via Gino Capponi 26, FIRENZE.
Via Paolo Mercuri 19/B, ROMA, Corso Cavour 93, BARI.
P.E.M., Corso di Porta Romana 87/B, MILANO.
Sous-Dépositaires : GENOVA : Libreria Di Stefano. MILANO : Libreria Hœpli. NAPOLI : Libreria L. Cappelli. PADUA : Libreria Zannoni. PALERMO : Libreria C. Cicala Inguaggiato. ROMA : Libreria Hœpli; Libreria Tombolini. TORINO : Libreria Lattes.

JAPAN - JAPON
Maruzen Company Ltd.
6 Tori Nichome Nihonbashi, TOKYO

LUXEMBOURG
Librairie Paul Bruck, 33, Grand'Rue,
LUXEMBOURG.

MOROCCO - MAROC
B.E.P.I., 8, rue Michaux-Bellaire, RABAT.

THE NETHERLANDS - PAYS-BAS
Wholesale Agent : Meulenhoff & Co., N.V. Importeurs, Beulingstraat 2, AMSTERDAM.
Principal Retailer : W.P. Van Stockum & Zoon Buitenhof 36, DEN HAAG.

NIGERIA
University Bookshop Nigeria Ltd.,
University College, IBADAN.

NORWAY - NORVÈGE
A/S Bokhjornet, Lille Grensen 7, OSLO.

PAKISTAN
Mirza Book Agency, 9-A Shah Alam Market
LAHORE.

PORTUGAL
Livraria Portugal, Rua do Carmo 70, LISBOA.

SOUTH AFRICA - AFRIQUE DU SUD
Van Schaik's Book Store Ltd,
Church Street, PRETORIA.

SPAIN - ESPAGNE
Mundi Prensa, Castelló 37, MADRID.
Libreria Bosch, Ronda Universidad 11
BARCELONA.

SWEDEN - SUÈDE
Fritzes, Kungl. Hovbokhandel,
Fredsgatan 2, STOCKHOLM 16.

SWITZERLAND - SUISSE
Librairie Payot, 40, rue du Marché, GENÈVE et à LAUSANNE, NEUCHATEL, VEVEY, MONTREUX, BERNE, BALE et ZURICH.

TURKEY - TURQUIE
Librairie Hachette, 469 Istiklal Caddesi, Beyoglu,
ISTANBUL.

UNITED KINGDOM and CROWN COLONIES - ROYAUME-UNI
H.M. Stationery Office, P.O. Box 569, LONDON, S.E.I.
Branches at : EDINBURGH, BIRMINGHAM, BRISTOL, MANCHESTER, CARDIFF, BELFAST.

UNITED STATES OF AMERICA
O.E.C.D. Regional Office, Suite 1223, 1346 Connecticut Ave, N.W. WASHINGTON 6, D.C.

YUGOSLAVIA - YOUGOSLAVIE
Jugoslovenska Knjiga, Marsala Tita 23,
P.O.B. 36, BEOGRAD.

Les commandes provenant de pays où l'O.C.D.E. n'a pas encore désigné de dépositaire peuvent être adressées à:
O.C.D.E., Bureau des Publications, 2, rue André-Pascal, Paris (16e)

Orders and inquiries from countries where sales agents have not yet been appointed may be sent to
O.E.C.D., Publications Office, 2, rue André-Pascal, Paris (16e)

O.E.C.D. PUBLICATIONS, 2, rue André-Pascal, Paris 16e - No. 15791/February 1963
PRINTED IN FRANCE

ECONOMIC SURVEYS BY THE OECD

Following the practice established since 1954 by the O.E.E.C., the O.E.C.D. is publishing annual economic surveys for each Member country, and for Yugoslavia.

Surveys will be published in the following order between November 1962 and August 1963:

UNITED STATES
CANADA
PORTUGAL
ICELAND
GERMANY
TURKEY
SWITZERLAND
DENMARK
GREECE
AUSTRIA
IRELAND
YUGOSLAVIA
SWEDEN
SPAIN
NETHERLANDS
BELGIUM AND LUXEMBOURG
ITALY
UNITED KINGDOM
NORWAY
FRANCE

Surveys were last issued for these countries, except Turkey and Portugal, between November 1961 and September 1962.

PRICE 3 s. $ 0,50 F 2 FS 2 DM 1,70